

25PSCV01334 25PSCV01334

County: los-angeles

Division: Civil Law and Motion

Department: G

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Case Number: 25PSCV01334 Hearing Date: July 15, 2026 Dept: G

Plaintiff

Chia-Chih Chao's Motion to Compel Arbitration of Dispute and to Appoint Neutral
[Arbitrator]

Respondent:

NO OPPOSITION

TENTATIVE

RULING

Plaintiff

Chia-Chih Chao's Motion to Compel Arbitration of Dispute and to Appoint Neutral
[Arbitrator] is DENIED WITHOUT PREJUDICE.

BACKGROUND

This

is a contract enforcement action. On

February 15, 2022, plaintiff Chia-Chih Chao (Chao) allegedly entered into a residential purchase agreement with an option to buy agreement with defendants You Lu and Xiao M. Xu (collectively, Defendants) for Defendants' real property in Walnut, California. Pursuant to the agreement(s), Chao allegedly paid Defendants an initial sum of \$50,000.00 plus \$4,500.00 per month for a total of \$162,000.00 to be credited toward the purchase price.

On

April 15, 2025, Chao filed the Complaint.

On

May 11, 2026, Chao filed this motion to compel arbitration, which is unopposed.

This

case is set for a case management conference (further)/status conference re: binding arbitration and a hearing on the motion on July 15, 2026.

ANALYSIS

Chao

moves to compel arbitration pursuant to the arbitration provision of the residential purchase agreement. For the following reasons, the motion is DENIED WITHOUT PREJUDICE.

Legal

Standard

“A

written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Code Civ. Proc., § 1281.) The court must grant a petition to compel arbitration unless it finds no written agreement to arbitrate exists, the right to compel arbitration has been waived, grounds exist for revocation of the agreement, or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues.

(Code Civ. Proc., § 1281.2.)

In

a motion or petition to compel arbitration under both California and federal law, “the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal quotation marks omitted.) Once the court finds an arbitration agreement exists and that the dispute is covered by the agreement, the party opposing arbitration bears the burden of establishing a defense to enforcement by preponderance of the evidence. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) In interpreting an arbitration agreement, courts apply the same principles used to interpret contractual provisions with the fundamental goal of giving effect to the parties’ mutual intentions and applying contractual language if clear and explicit. (*Valencia v. Smyth* (2010) 185

Cal.App.4th 153, 177.) Because public policy strongly favors arbitration, “any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration.” (Coast Plaza Doctors Hospital v. Blue Cross of California (2000) 83 Cal.App.4th 677, 686.)

Discussion

As a preliminary matter, the court finds that compelling arbitration would not “give effect to the parties’ mutual intentions” because the parties did not first engage in mediation. (Valencia, supra, 185 Cal.App.4th at 177.)

The relevant contractual provision reads, “The Parties agree to mediate any dispute or claim arising between them out of this Agreement, or any resulting transaction, before resorting to arbitration or court action.” (Exh. List, Exh. 2, ¶ 30A.) The parties may only arbitrate an issue “which is not settled through mediation.” (Exh. List, Exh. 2, ¶ 31A.) By the explicit language of the agreement, the party seeking to arbitrate the dispute arising out the contract must first go through mediation.

Though the Complaint alleges that Chao demanded that Defendants participate in mediation, there is no evidence that the parties completed mediation before Chao moved the court to compel arbitration. (See Compl., ¶ 13.) The court cannot compel arbitration pursuant to the agreement of the parties unless Chao demonstrates that it satisfied the condition precedent of participating in mediation.

Therefore, the motion to compel arbitration is DENIED WITHOUT PREJUDICE.

CONCLUSION

For these reasons, the motion to compel arbitration of dispute and to appoint neutral [arbitrator] is DENIED WITHOUT PREJUDICE.